This was a major default. And it clearly augured more bad things to come. Now that the dollar was no longer anchored to gold, the entire world money system—which was anchored to the dollar—was adrift. And you didn't have to tell us gold bugs what that meant. It meant that the dollar would soon be worthless.

So let's imagine that they did exchange their dollars for gold. Just to make the math easy, let's imagine that they waited a few days after Nixon's announcement and got an ounce of gold for every $50 they traded.

We all know what happened next. They looked like geniuses in the 1970s—and then like morons for the next two decades. Gold rose to over $800 by the end of the 1970s. But then, the aforementioned Mr. Volcker put the kibosh on inflation. In doing so, he also pulled the rug out from under the gold bugs. The dollar was good. No need for gold, especially not overpriced gold. The price of gold fell for nearly 20 years, beginning at the onset of the 1980s and ending at the end of the 1990s. By then, the typical gold bug was broke and depressed. You could find him muttering to himself while picking up cigarette butts and looking through dumpsters for a half-eaten sandwich.

But the markets had a story to tell. And it wasn't over. Prior to the "Nixon Shock" of 1971, nations settled their trade imbalances in gold. This had the effect of keeping trade imbalances from getting too out of whack. If a country spent too much on imports, its paper money ended up in foreign hands. When this paper was presented to the central bank, a transfer of gold from the importer to the exporter settled the account. Nations with trade deficits were thus encouraged to raise interest rates to cool imports and protect their gold.

After 1971, imbalances were allowed to run unchecked. In effect, Americans could buy things without ever really paying for them. It was as if you sent a check in payment for a new washing machine and the check was never cashed. You might be tempted to buy more! Dollars shipped abroad were never presented to the U.S. Treasury for exchange. Why bother? The U.S. dollar was the world's reserve currency.

Americans bought more and more from overseas. In the four decades before 1971, there was not a single U.S. current account deficit. Since, the U.S. has run a deficit every four out of five years. Soon, the volume of goods coming into the country was far beyond the volume going out. Ships